notably that human irrationality is both normal and harmful, at least when it comes to our portfolios.

Let's look at a few of Thaler's discoveries and how they manifest in bad investor behaviors.

Endowment effect

In one of Thaler's early experiments, people were given mugs with a school logo—essentially worthless baubles. They were willing to pay far less to buy them than they were willing to sell them for. In other words, they attached a higher value to an asset they already owned than to one they didn't.

This is the *endowment effect*. Its impact is significant for portfolio management. Investors tend to think more highly of the holdings that are sitting in their accounts than the rest of the investable universe. This is true for stocks, mutual funds, alternative investments, and ETFs.

It explains why most people are such bad stock traders. They have a hard time cutting their losers. They believe their own holdings are more valuable than what the market is telling them.

Sunk cost fallacy

Imagine you are in a restaurant and order an expensive dessert. Despite its 1,000 sugary calories, you do not especially like it—but you eat it anyway. After all, you already paid for it!

This is a perfect example of the *sunk cost fallacy*. Thaler suggests what you should be thinking is: "Since I have already paid for this, why should I suffer the caloric consequences of eating something I don't like? It's paid for whether I eat it or not!"

Apply that to any stock or fund you own (endowment effect included). You have paid for it, but more than that, you invested time and energy into it: You researched the company, you know who the senior management is; you